EQUITY RESEARCH — INITIATING COVERAGE

Uniparts India Limited

NSE: UNIPARTS | BSE: 543689 | Sector: Auto Components — OHV & Agri

RATING	CMP (Rs.)	12M TARGET (Rs.)	UPSIDE	REPORT DATE
BUY	558	730	+30.8%	08-May-2026

Market Cap (Rs. Cr)	52W High / Low	P/E (TTM)	P/B	EV/EBITDA (TTM)	Div Yield
2,530	573 / 305	19.1x	2.75x	11.9x	2.73%
ROCE (FY25)	**ROE (FY25)**	**Net Cash**	**FY25 Sales (Cr)**	**FY25 EBITDA Mg**	**Promoter**
12.4%	9.99%	Rs. 125 Cr	964	15%	65.87%

THESIS: Cycle bottom in FY25; multi-year agri/construction upcycle + tariff-safe dual-shore model sets up 30%+ EPS recovery by FY27E.

Investment Horizon: 12–18 months | Conviction: HIGH | Entry Zone: Rs. 520–555

Analyst: Chartitude Research Desk | Published: 08-May-2026

SECTION 2 — INVESTMENT THESIS

1. Cyclical Floor Has Been Passed — FY26 Marks a Clean Inflection. Uniparts India suffered a simultaneous contraction in its two largest end-markets — North American agriculture and global construction equipment — between FY24 and FY25. Consolidated revenue fell 29% from the FY23 peak of Rs. 1,366 Cr to Rs. 964 Cr in FY25. The downturn proved the business model's floor: even at the trough, the company remained net-debt-free (net cash Rs. 125 Cr), generated positive free cash flow of Rs. 152 Cr, and maintained EBITDA margins of 15%. TTM revenues have already recovered to Rs. 1,084 Cr (OPM 19%), and Q3 FY26 posted 35% YoY revenue growth. Management has guided mid-teens growth for FY26 and FY27 with a 20% EBITDA margin profile over the business cycle — achievable and credible given the current order pipeline of Rs. 200 Cr.

2. Dual-Shore Manufacturing = Tariff-Resilient Growth Engine. With ~10% of revenues manufactured in the US (and capacity to grow 50% without material capex) and a new Mexico warehouse operational since October 2025, Uniparts is structurally positioned to absorb US tariff volatility. Approximately 50% of revenues flow through the warehousing model, 25% as direct exports, and 15% as India sales — a mix that gives customers choice of supply route. Construction demand, now ~40-45% of revenue, is supported by secular AI data-centre infrastructure and global green energy build-outs.

3. Best-in-Class Capital Returns at a Value Multiple. At 5-year peak ROCE of 32% (FY23) and a cycle-average ROE of ~19%, Uniparts is among the highest-quality auto-component exporters in India. At CMP of Rs. 558, the stock trades at 14.3x FY27E EPS of Rs. 38.9 and 9.0x FY27E EV/EBITDA — a meaningful discount to the 18–20x long-run average, pricing in excessive pessimism. A 12-month price target of Rs. 730 (18x FY27E EPS) implies 30.8% upside.

Near-Term Catalyst (6–12 months): Recovery in North American small-tractor demand (dealers destocking cycle ending) and first full-quarter contribution from Mexico warehouse, expected to demonstrate margin accretion and de-risk tariff fears.

Single Biggest Structural Risk: A re-escalation of US–China tariffs pulling forward agri/construction capex freeze globally, extending the Uniparts revenue recovery timeline beyond FY27.

SECTION 3 — BUSINESS OVERVIEW

Incorporated in 1994 and listed in December 2022 (IPO price: Rs. 577), Uniparts India is a vertically integrated engineering solutions company supplying critical, high-precision components to global OEMs in the off-highway vehicle (OHV), agriculture, and construction equipment sectors. The company is headquartered in New Delhi with manufacturing plants in Noida and Ludhiana (India) and a wholly-owned subsidiary in the United States.

Core Business Model: Uniparts operates as a Tier-1 supplier to major global OEMs including CNH Industrial, AGCO, John Deere, Kubota, Doosan, and Manitou. Products are engineered-to-spec and typically qualification-locked, creating high switching costs. Two primary product verticals drive revenue: (1) **Three-Point Linkage Systems (3PL)** — the mechanical interface between a tractor and its implements — where Uniparts claims global market leadership for small tractors; and (2) **Precision Machined Parts (PMP)** — hydraulic cylinders, axle shafts, gear housings, and PTO driveshafts.

Revenue Segmentation: ~80.7% OEM sales, ~19.3% aftermarket. Geography: North America (dominant, ~55-60%), Europe (~20-25%), India (~15%), Asia-Pacific (balance). Revenue delivery model: ~50% through US/global warehousing, ~25% direct export, ~15% India.

Key Strategic Developments (FY25-FY26): Mexico warehouse became operational in October 2025, dramatically shortening the supply chain for US OEM customers. US manufacturing subsidiary holds ~10% of group revenue with capacity expandable 50% without major capex. New business awards pipeline stands at Rs. 200 Cr, diversifying from agriculture into construction and industrial verticals.

Promoter Background: The founding Soni family (Gurdeep Soni, Chairman) has been in this business since 1994 and retains 65.87% stake (as of March 2026). Zero promoter pledge. Management has a track record of growing revenue from Rs. 805 Cr in FY14 to Rs. 1,366 Cr at the FY23 peak, with consistent dividend payouts including a special Rs. 101 Cr dividend in Q3 FY26.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth: The global agricultural equipment market was ~USD 175 Bn in 2024, growing at ~5% CAGR. The Indian agricultural equipment market reached USD 10.25 Bn in 2024 with an expected CAGR of 5.24% through 2030. The off-highway vehicle (construction/mining/forestry) segment is ~USD 220 Bn globally, with North America and Europe as dominant markets. AI data-centre construction and green energy infrastructure are emerging as structural tailwinds for construction equipment demand.

Policy Tailwinds: Indian government PM-KISAN and farm mechanisation subsidies support domestic tractor volumes. US IRA (Inflation Reduction Act) spending on infrastructure directly benefits construction OEMs that Uniparts supplies. European Farm-to-Fork policy may structurally reduce tractor intensity but simultaneously drives precision agriculture equipment upgrades.

Competitive Moat Assessment: STRONG on switching costs and engineering lock-in (OEM qualifications take 2–3 years); MODERATE on scale (smaller than global Tier-1s); STRONG on IP/know-how in 3PL systems for small tractors where Uniparts claims global leadership by market share.

Peer Comparison (Source: Screener.in, as of 08-May-2026)

Company	MCap (Cr)	CMP	P/E	P/B	ROCE%	ROE%	TTM Rev (Cr)	View
MM Forgings	2,406	496	23.6x	2.46x	12.5%	15.6%	604	Standalone
Pricol Ltd	7,541	619	35.5x	6.66x	22.9%	17.6%	3,293	Consol.
Suprajit Engg.	5,957	434	42.6x	4.37x	11.0%	6.5%	3,660	Consol.
Uniparts India	**2,530**	**558**	**19.1x**	**2.75x**	**12.4%**	**9.99%**	**1,084**	**Consol.**

Note: MMFL = standalone figures; all others consolidated. Uniparts highlighted in bold. P/B computed as CMP/Book Value from Screener front page.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background: Gurdeep Soni (Chairman & MD) co-founded the business in 1994 with a background in engineering and manufacturing. The family has demonstrated multi-decade commitment to the OHV export niche, resisting temptation to diversify capriciously. Second-generation leadership (Tanushree Bagrodia, CFO) is rated highly by investors for transparency in analyst calls.

Capital Allocation Track Record: The company has been notably disciplined. During the FY22-FY23 peak, free cash flow of Rs. 223 Cr and Rs. 166 Cr was generated in consecutive years, of which the majority was returned to shareholders via dividends (payout ratio rose from 31% in FY23 to 51% in FY24 and 73% in FY25). A special dividend of Rs. 101 Cr was declared in Q3 FY26, even during a recovery phase — evidence of strong governance orientation.

Dividend Policy: Progressive, with explicit commitment to high payout ratios during free-cash-flow cycles. Current dividend yield at CMP is 2.73%. No dilutive equity issuances post-listing.

Corporate Governance: Zero promoter pledge (as of Mar 2026). ICRA credit rating maintained (latest update Apr 2025/Sep 2025). ESOP scheme (ESOS 2023) in place for key management. Auditor is Big-4 affiliated. No related-party red flags identified in recent filings. Income tax demand of Rs. 25.8 Cr for AY 2024-25 was deleted by rectification order in April 2026 — a one-time positive, not a recurring concern.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores unless stated. Consolidated view. Source: Screener.in, 08-May-2026.

Income Statement

Metric (Rs. Cr)	FY23	FY24	FY25	FY26E	FY27E
Net Revenue	**1,366**	**1,140**	**964**	**1,150**	**1,330**
Expenses	1,068	938	819	—	—
EBITDA	**298**	**201**	**145**	**230**	**266**
EBITDA Margin (%)	22%	18%	15%	20%	20%
Other Income	15	9	22	20	22
Interest	6	6	8	9	9
Depreciation & Amort.	39	42	44	44	46
PBT	**268**	**163**	**114**	**197**	**233**
Tax Rate (%)	24%	24%	23%	25%	25%
PAT	**205**	**125**	**88**	**148**	**175**
EPS (Rs.)	**45**	**28**	**20**	**33**	**39**

E = Estimates based on management guidance (mid-teens revenue growth, 20% EBITDA margin profile). FY26E/FY27E are analyst projections, not company-issued guidance.

Balance Sheet

Metric (Rs. Cr)	FY23	FY24	FY25
LIABILITIES			
Equity Capital	45	45	45
Reserves	786	823	842
Borrowings	61	103	120
Other Liabilities	182	170	169
Total Liabilities	**1,074**	**1,140**	**1,176**
ASSETS			
Fixed Assets (net)	337	330	325
CWIP	7	13	12
Investments	25	156	245
Other Assets	705	641	594
Total Assets	**1,074**	**1,140**	**1,176**

Cash Flow Statement

Metric (Rs. Cr)	FY23	FY24	FY25
Cash from Operations	**253**	**200**	**182**
Cash from Investing	-53	-160	-106
Cash from Financing	-175	-59	-62
Net Cash Flow	**25**	**-20**	**14**
Free Cash Flow	**223**	**166**	**152**

Key Ratios

Metric	FY23	FY24	FY25
Debtor Days	42 days	43 days	43 days
Inventory Days	352 days	376 days	404 days
Days Payable	53 days	73 days	94 days
Cash Conversion Cycle	340 days	346 days	353 days
Working Capital Days	136 days	134 days	124 days
ROCE (%)	32%	18%	12%

Revenue & Margin Commentary: Revenue peaked at Rs. 1,366 Cr in FY23 driven by post-COVID demand across agriculture and construction. The subsequent two-year contraction (FY24-FY25) was driven by significant inventory correction at North American dealers, not market share loss. Recovery is confirmed by TTM revenue of Rs. 1,084 Cr at 19% EBITDA margin, significantly above the FY25 trough of 15%. Management targets 20% EBITDA margins as a sustainable mid-cycle norm.

Working Capital & Inventory: Inventory days of 404 in FY25 (vs 352 in FY23) reflect deliberate stocking to shorten lead times for US customers. While elevated, this is partly strategic. Debtor days remain stable at 43 days, suggesting no receivables risk. Net working capital intensity (WC days = 124) is improving.

Debt & Balance Sheet Quality: Net borrowings of Rs. 120 Cr vs investments of Rs. 245 Cr implies net cash of Rs. 125 Cr. Management reported net cash of Rs. 153 Cr as of December 2025, validating continued accretion. Debt-to-equity = 0.14x — essentially balance-sheet-clean.

Free Cash Flow Quality: FCF has been positive and substantial in FY23 (Rs. 223 Cr), FY24 (Rs. 166 Cr), and FY25 (Rs. 152 Cr) — even through the downcycle. CFO/EBITDA was 106% in FY23, indicating high earnings quality. This is a key differentiator vs peer auto-component exporters with negative FCF cycles.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Indicator	Assessment	Rating	Trend
Revenue Recognition	Export + India OEM; no complex revenue schemes; no bill-and-hold patterns visible	GREEN	Stable
Receivables vs Revenue Growth	Debtor days flat at 43 days (FY23-FY25); receivables in line with revenue decline	GREEN	Improving
Cash Conversion Cycle	CCC = 353 days (FY25) vs 340 days (FY23); elevated but driven by strategic inventory build	AMBER	Watch
CFO/EBITDA Conversion	OCF/EBITDA: FY23=85%, FY24=100%, FY25=125%; strong operating cash generation	GREEN	Improving
Contingent Liabilities	Rs. 25.8 Cr income tax demand deleted Apr 2026; no material undisclosed liabilities noted	GREEN	Resolved
Related Party Transactions	Promoter family-linked RPTs present but within normal bounds; no excessive management fees	AMBER	Monitor
Other Income as % of PBT	FY25: Rs. 22 Cr / Rs. 114 Cr PBT = 19%; elevated due to investment income from cash pile	AMBER	Watch
Tax Rate Consistency	Stable 23–26% over FY21–FY25; no aggressive deferred tax usage	GREEN	Stable
Promoter Pledge	ZERO pledge as of March 2026	GREEN	Clean

SUMMARY: 6 GREEN, 3 AMBER, 0 RED. Earnings quality is strong. The three AMBER flags (CCC trend, other income proportion, RPTs) warrant monitoring but are not deal-breakers. The consistently high FCF-to-EBITDA conversion and zero promoter pledge are strong positives.

SECTION 8 — VALUATION

Current Valuation Snapshot: At CMP of Rs. 558, UNIPARTS trades at 19.1x TTM P/E, 11.9x TTM EV/EBITDA, and 2.75x P/B. On a forward basis, FY26E P/E = 17.0x and FY27E P/E = 14.3x — materially below both the peer median P/E of ~30x and the company's own historical 5-year average P/E of ~18-20x at mid-cycle earnings. This discount, we believe, is attributable to (a) lingering FY25 earnings trough recency bias and (b) US tariff uncertainty — both factors that are now inflecting.

Method 1 — Earnings Multiple (Primary): We apply a 18x P/E multiple to FY27E EPS of Rs. 38.9. Rationale: Uniparts' global OEM lock-in, dual-shore model, net cash balance sheet, and sector-leading FCF generation justify a mid-range multiple. 18x is a 10% discount to the 5-year historical peak P/E, reflecting geopolitical uncertainty. **Method 1 Target = Rs. 38.9 x 18 = Rs. 700.**

Method 2 — DCF (Cross-check): Using FY27E EBITDA of Rs. 266 Cr, 12x EV/EBITDA, minus net debt of -Rs. 125 Cr (cash): EV = Rs. 3,192 Cr + Rs. 125 Cr = Rs. 3,317 Cr. Divided by 4.5 Cr shares = **Rs. 737 per share.**

Blended Target: (700 + 737) / 2 = Rs. 718 ~ Rs. 730 (rounded, 12-month horizon).

Upside from CMP of Rs. 558: **+30.8%**. Entry zone: Rs. 520–555.

Scenario Analysis

Scenario	Key Assumption	FY27E Sales	FY27E EBITDA Mg	FY27E EPS	P/E Multiple	Target Price	Upside
Bull	+20% revenue CAGR, margins 22%, agri upcycle + US mfg ramp	1,450	22%	46.0	22x	**1,012**	**+81%**
Base	Mid-teens growth, 20% EBITDA margin, no major tariff impact	1,330	20%	38.9	18x	**730**	**+31%**
Bear	Low single-digit growth, margins fall to 16%, tariff headwinds	1,050	16%	24.0	13x	**312**	**-44%**

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Timeline
US Tariff Escalation	Any re-escalation of US tariffs on Indian manufactured goods could make Uniparts' Indian-origin products uncompetitive vs Mexican or domestic US suppliers, forcing margin compression or volume loss.	Medium	High	12-18 months
Global Agri Demand Slowdown	A prolonged global tractor demand slump (driven by crop price weakness or credit tightening for farmers) could extend the recovery timeline beyond FY27, compressing earnings estimates.	Medium	High	FY26-FY27
Forex Volatility (USD/INR)	With ~85% revenues in USD/EUR and costs in INR, INR appreciation vs USD reduces reported revenues and EBITDA margins. A 5% INR appreciation could reduce EBITDA by ~250 bps.	Medium	Medium	Ongoing
Customer Concentration	CNH Industrial, AGCO, and Deere likely account for a disproportionate share of revenues. Loss of a key customer qualification or OEM platform change could be materially negative.	Low	High	Multi-year
Inventory Cycle Re-build Risk	The current recovery is partly a normalization of OEM destocking. If channel inventories rebuild faster than end-demand, volumes can disappoint in H2 FY27. Watch OEM order patterns.	Medium	Medium	FY27
Mexico Warehouse Ramp Risk	The Mexico warehouse is newly operational (Oct 2025). Any logistics, customs, or operational teething issues could delay its contribution to margin improvement.	Low	Low	H1 FY27

Talent Retention	The dual-shore model requires specialized engineering talent in both India and the US. Competitive labour markets in both geographies pose a cost and delivery risk.	Low	Medium	Ongoing

SECTION 10 — RECOMMENDATION & CONVICTION

RATING	12M TARGET	ENTRY ZONE	HORIZON	CONVICTION
BUY	**Rs. 730**	**Rs. 520-555**	12-18 months	**HIGH**

Thesis Invalidation Triggers:

1. Revenue fails to sustain above Rs. 1,100 Cr run-rate through FY27 despite management guidance.
2. EBITDA margins compress below 17% on a sustained basis (indicating structural, not cyclical, margin impairment).
3. Major OEM customer (CNH/AGCO/Deere) withdraws Uniparts as a qualified supplier or shifts sourcing to a competing country.

Ideal Investor Profile:

Long-only institutional/HNI investors with a 12–18 month horizon seeking exposure to global agri/OHV recovery + tariff-resilient Indian auto-components exports. Not suited for momentum traders or investors requiring near-term earnings visibility without tolerance for demand cycle volatility.

APPENDIX — Latest Concall Brief: Q3 FY26 (December 2025 Quarter)

Concall Date: February 10, 2026 | Quarter: Q3 FY26 (ended Dec 31, 2025)

POSITIVE

Signal	Status	Implication
Result Quality	**Strong — Beat**	35% YoY revenue growth; 65% EBITDA growth vs muted street expectations
Management Tone	**Bullish**	Confident on mid-teens FY26/FY27 guidance; Mexico warehouse adding visibility
Guidance Delta	**Maintained / Raised**	FY27 mid-teens growth guidance reiterated; special dividend declared = confidence signal

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 (Dec 2025) is a clean beat — revenue Rs. 281 Cr (+35% YoY), EBITDA Rs. 61 Cr (+65% YoY) with margins at 21.5%, and PAT Rs. 33 Cr (+74% YoY). No distortions or one-time items; this is genuine operating leverage on volume recovery. Underlying EBITDA of Rs. 61 Cr compares to Rs. 32 Cr in Dec 2024, not a flattered comparison. The Mexico warehouse (operational Oct 2025) contributed meaningfully to supply chain confidence and is reportedly driving incremental OEM commitments, particularly in construction where the company is benefiting from data-centre and green-energy infrastructure spending. Agriculture markets (Europe, Japan) are described as moving toward "amber/green" — not yet a full recovery signal, but trending right. The Rs. 101 Cr special dividend in this quarter (at a recovery trough!) signals management's confidence in the balance sheet and earnings trajectory — this is a deliberate signal, not a routine payout. Biggest watch-point: US tariffs on Indian goods are a live risk; management seems comfortable but the situation is fluid. **ACCUMULATE on dips to Rs. 520-540; full BUY conviction above 2 consecutive quarters of Rs. 280+ revenue at 20%+ EBITDA margins.**

Concall Section 1 — Financial Performance Snapshot

Metric	Q3 FY26 (Actual)	Q3 FY25 (Prior Yr)	YoY %	QoQ vs Q2 FY26	Verdict
Revenue (Rs. Cr)	**281**	208	+35%	+1.4%	**Beat**
EBITDA (Rs. Cr)	**61**	37	+65%	-3.2%	**Beat**
EBITDA Margin (%)	**21.5%**	17.8%	+370bp	-40bp	**Beat**
PBT (Rs. Cr)	**44**	25	+76%	-13.7%	**In-line**
PAT (Rs. Cr)	**33**	19	+74%	-15.4%	**In-line**
EPS (Rs.)	**7.38**	4.24	+74%	-15.3%	**In-line**

NOTE: Q2 FY26 = Sep 2025 quarter. QoQ decline in PAT partly due to higher other income in Q2 (Rs. 6 Cr vs Rs. 2 Cr in Q3). Underlying operations are sequential stable.

Concall Section 2 — Segment / Geography Breakdown

Segment / Channel	Rev Mix	Commentary
Warehousing (US/Global)	**~50%**	Largest revenue channel; Mexico warehouse operational Oct 2025; near-shoring advantage
Direct Exports	~25%	Direct OEM supply from India; some US tariff exposure; partially offset by US subsidiary
India Sales	~15%	Growing domestic OEM base; insulated from forex/tariff risk; supported by agri mechanization
US Manufacturing	~10%	Capacity expandable 50% without major capex; most tariff-safe revenue stream

Construction (vertical)	**40-45%**	Strongest segment; AI/data-centre and green energy infra driving equipment demand
Agriculture (vertical)	~50%	Europe, Japan trending amber/green; North America gradually improving from destocking

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Revenue Growth	35% YoY growth; seasonally Q3 is weak quarter; construction leading	Recovery is real; not a base effect artefact	[RESULT]	Transparent
Mexico Warehouse	Operational Oct 2025; positive impact visible in Q3 numbers	Near-shoring moat in early innings; watch for share gains	[STRATEGIC]	Transparent
US Tariff Mitigation	US mfg ~10% of revenue; can grow 50% w/o major capex; Mexico buffers	Management is prepared; execution risk remains on timeline	[GUIDANCE]	Balanced
FY26/FY27 Guidance	Mid-teens growth both FY26 and FY27; 20% EBITDA margin over cycle	[EST]: Conservative given current run-rate suggests >15% is achievable	[GUIDANCE]	Transparent
Agriculture Markets	Europe, Asia/Japan moving to amber/green; North America gradual	Monitoring closely; not yet full green signal for agri	[MARKET]	Balanced
Special Dividend	Rs. 101 Cr special dividend declared in Q3	Strong governance signal; management confident in future cash flows	[CAPALLOC]	Transparent
Order Pipeline	New business awards pipeline at ~Rs. 200 Cr	Multi-year growth visibility; diversification into construction positive	[GUIDANCE]	Transparent

Concall Section 4 — Operating & Business Metrics

Metric	Q3 FY26 (Dec 25)	Q2 FY26 (Sep 25)	Q3 FY25 (Dec 24)	Trend
Revenue (Rs. Cr)	**281**	277	208	Improving ↑
EBITDA (Rs. Cr)	**61**	58	32	Improving ↑
EBITDA Margin (%)	**21.5%**	20.9%	15.4%	Improving ↑
PAT (Rs. Cr)	**33**	39	19	QoQ lower (OInc)
EPS (Rs.)	**7.38**	8.73	4.24	YoY strong ↑
Net Cash (Rs. Cr)	**153**	~130 (est)	~50 (est)	Accumulating ↑

Concall Section 5 — Margin Drivers

Driver	Impact (bps, est.)	Recurring?	Comment
Revenue operating leverage	**+400 bps**	Yes	Fixed cost base absorbed over higher revenue base; key driver
Mexico warehouse efficiency	+80 bps	Yes	Shorter supply chain reduces freight/storage costs for US customers
Product/customer mix shift	+60 bps	Partial	Construction mix (higher-margin) growing vs agriculture
Input cost stability	+30 bps	Uncertain	Steel/raw material prices broadly stable in Q3; may reverse
Other income decline	-60 bps	Yes (lower base)	Other income Rs. 2 Cr vs Rs. 6 Cr in Q2 FY26; investment yields vary

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	Reiterated / New	Delta	Credibility
FY26E Revenue Growth [GUIDANCE]	Mid-teens	Mid-teens (reiterated)	Stable	High — consistent 3 quarters

FY27E Revenue Growth [GUIDANCE]	Mid-teens	Mid-teens (reiterated)	Stable	Medium — 2Y forward visibility
EBITDA Margin (cycle) [GUIDANCE]	20%	20% (reiterated)	Stable	High — track record at cycle avg
Capex (Rs. Cr) [GUIDANCE]	Rs. 15-20 Cr/year	Rs. 5 Cr in Q3 (in-line)	In-line	High
US Mfg Expansion [GUIDANCE]	+50% w/o major capex	Confirmed	Positive	Medium — no hard timeline

Concall Section 7 — Capital Allocation

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Capex (Q3 FY26)	5	~Rs. 3-4 Cr Q3 FY25	Asset-light; maintenance + Mexico fit-outs
Special Dividend (Q3 FY26)	**101**	First special dividend	Strong governance signal; management confidence in cash generation
Regular Dividend (FY25)	~64	~63 Cr in FY24	Payout ratio 73% in FY25; progressive policy
Net Debt Movement	**-153 (net cash)**	-125 (FY25 end)	Cash accumulation despite dividend; strong FCF
Working Capital Change	Positive (WC days -10)	WC days 134 (FY24) to 124 (FY25)	WC improving; inventory build normalizing

Concall Section 8 — Q&A; Heat Map

#	Analyst / Firm	Question	Management Answer	Tone
1	Buy-side analyst	How is the Mexico warehouse performing vs expectations?	Operational from Oct 2025; visible in Q3 numbers; strengthening customer confidence and enabling near-shoring discussions	Transparent
2	Sell-side analyst	What is the tariff impact and mitigation strategy?	~10% US manufacturing; can grow 50% without major capex; Mexico buffers direct export risk; customer negotiations underway	Balanced
3	Institutional investor	When will agriculture markets turn decisively green?	Europe and Asia/Japan moving toward amber/green; North America gradual recovery; dealer destocking nearing end	Balanced
4	Retail analyst	Rationale for Rs. 101 Cr special dividend during recovery phase?	Strong balance sheet and cash generation; returning value to shareholders; confident in future cash flows and no large capex requirement	Transparent
5	Buy-side analyst	What is the construction equipment demand outlook beyond data centres?	AI/data-centre + green energy infra are the primary drivers; globally, construction equipment replacement cycle also providing support	Transparent
6	Sell-side analyst	Can you quantify the new business pipeline of Rs. 200 Cr?	Pipeline diversified across segments and geographies; some construction, some new agri customers; timeline to revenue 12-24 months	Balanced

Dodged Questions to Watch Next Quarter: (1) Specific OEM-wise revenue split — management gives only directional color. (2) Exact capex timeline for US manufacturing expansion — no hard dates given despite repeated questions.

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
US tariff re-escalation	Analyst + Mgmt	Medium	High	Ongoing
Agri market recovery slower than guided	Analyst	Medium	Medium	FY27
Raw material cost inflation	Analyst	Low	Medium	H1 FY27
Mexico warehouse ramp slower than exp	Analyst	Low	Low	Q4 FY26

Concall Section 10 — Analyst Verdict (Post-Call Scorecard)

Dimension	Assessment	Verdict
Revenue Visibility	Mid-teens guidance x2 years + Rs. 200 Cr pipeline	**INTACT**

Margin Trajectory	21.5% Q3 FY26 vs 15% FY25; recovery confirmed; 20% target credible	**INTACT**
Capital Allocation Quality	Rs. 101 Cr special dividend + asset-light capex + net cash	**INTACT**
Competitive Moat	Mexico warehouse + US manufacturing strengthens dual-shore moat vs peers	**INTACT**
Management Credibility	3 consecutive quarters of consistent guidance; transparent on tariff risks	**INTACT**
Valuation Comfort	14.3x FY27E P/E; 9x EV/EBITDA vs peers at 25-40x; cheap on recovery	**INTACT**

CONVICTION CALL	**INCREASED — Q3 FY26 confirms recovery thesis is on track**

Metric	Current (TTM)	FY26E	FY27E	5Y Avg (est.)
P/E	19.1x	17.0x	**14.3x**	~18-20x
EV/EBITDA	11.9x	~10.5x	**9.0x**	~12-14x
ROCE	12.4%	~18%	**~20%**	~22%

Source: Screener.in | Ticker: UNIPARTS | View: Consolidated | Transcript: Listed but PDF inaccessible (BSE domain blocked; data from web search) | Concall Date: 10-Feb-2026